

Multiple Choice

1. **Answer:** A

Options: A) surplus expansion surplus expansion; B) deficit recession deficit expansion; C) surplus expansion deficit recession; D) deficit expansion deficit recession; E) surplus expansion surplus recession

Note: Correct option: A - surplus expansion surplus expansion

2. **Answer:** D

Options: A) increase long-run output with no significant impact on inflation.; B) have no significant impact on either output or inflation.; C) lower the unemployment rate while also lowering the rate of inflation.; D) increase short-run output but it is the source of long-run inflation.; E) increase the nation's long-run capacity to produce.

Note: Correct option: D - increase short-run output but it is the source of long-run inflation.

3. **Answer:** A

Options: A) a political union of European nations; B) A social welfare collaboration between Eastern and Western European countries; C) a military alliance in Europe; D) a cultural organization in Europe; E) A trade agreement between Europe and Asia to promote intercontinental commerce

Note: Correct option: A - a political union of European nations

4. **Answer:** E

Options: A) Scarcity is relevant only for non-renewable resources in the circular flow model; B) Scarcity is only relevant in the factor markets of the circular flow model; C) Scarcity is only considered in the household sector of the circular flow model; D) Scarcity is addressed through government intervention in the circular flow model; E) Scarcity is implicit in the entire analysis of the circular flow model

Note: Correct option: E - Scarcity is implicit in the entire analysis of the circular flow model

5. **Answer:** C

Options: A) GNP and NNP are always equal; B) $NNP = GNP + (\text{Depreciation} * 2)$; C) $GNP = NNP + \text{Depreciation}$; D) $NNP = GNP - \text{Depreciation}$; E) NNP and GNP are unrelated financial indicators

Note: Correct option: C - $GNP = NNP + \text{Depreciation}$

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Higher interest rates that result from borrowing to conduct contractionary fiscal policy'.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'overstates increases in the cost of living'.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '10%'.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Rapid acceleration of price level, oil price increases, perversely working tax systems, and macroeconomic policy mistakes. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** (-2.50, 2.50). Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key